

25VECV02635 25VECV02635

County: los-angeles

Division: Civil Law and Motion

Department: U

Hearing date: 2026-07-10

Motion: DEFENDANTS' MOTION TO VACATE DEFAULTS AND DEFAULT JUDGMENT

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Case Number: 25VECV02635 Hearing Date: July 10, 2026 Dept: U

SUPERIOR

COURT OF THE STATE OF CALIFORNIA

FOR

THE COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

RAZI SHAPIRA, an
individual,

Plaintiff,

vs.

A TO Z USED AUTO PARTS CORP., a
corporation; STEVEN MATTHEW HANZEL, an individual; SHERRY MAHSHID HOSTEN, an
individual; and DOES 1-25, inclusive,

Defendants.

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CASE NO: 25VECV02635

[TENTATIVE] ORDER RE: DEFENDANTS' MOTION
TO VACATE DEFAULTS AND DEFAULT JUDGMENT

Dept. U

8:30 a.m.

July 10, 2026

I.

BACKGROUND

This

case arises from a motor vehicle accident that occurred on August 30, 2024.

On

May 7, 2025, Plaintiff Razi Shapira filed his complaint against Defendants A to Z Used Auto Parts Corp. ("ATZ"), Steven Matthew Hanzel ("Hanzel"), and Sherry Mahshid Hosten ("Hosten").

On

July 11, 2025, Plaintiff filed proofs of service against all three (3)

Defendants. As to ATZ, Plaintiff's proof of service documents substituted service via Hanzel, ATZ's agent for service of process, by leaving papers with "John Doe," identified as a "person in charge," at ATZ's business address located at 42137 4th Street East in Lancaster at 9:38 A.M. on May 22, 2025. As to Hanzel and Hosten as individuals, Plaintiff's proofs of service document substituted service by leaving papers with "John Doe," identified as a "person in charge," at the same address at 9:40 A.M. on May 27, 2025.

On July 16, 2025, the Clerk entered all three (3) Defendants' defaults.

On May 1, 2026, Judge Valerie Salkin held a prove-up hearing where Plaintiff presented evidence (including live testimony) to support his claimed damages. The Court thereupon entered default judgment in favor of Plaintiff and against Defendants in the total amount of \$4,478,167.50. (See Minute Order dated May 1, 2026.)

On May 26, 2026, Defendants filed their motion to set aside and vacate the defaults and default judgment entered in this case.

On June 2, 2026, Judge Anthony Mohr granted Defendants' ex parte application to advance the hearing date on their motion.

On June 29, 2026, Plaintiff filed his opposition brief.

On July 2, 2026, Defendants filed their reply brief.

II. LEGAL STANDARD

"When service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against him or her in the action, he or she may serve and file a

notice of motion to set aside the default or default judgment and for leave to defend the action. The notice of motion shall be served and filed within a reasonable time, but in no event exceeding the earlier of: (i) two years after entry of a default judgment against him or her; or (ii) 180 days after service on him or her of a written notice that the default or default judgment has been entered.” Code Civ. Proc., § 473.5 (a).

“A notice of motion to set aside a default or default judgment and for leave to defend the action shall designate as the time for making the motion a date prescribed by subdivision (b) of Section 1005, and it shall be accompanied by an affidavit showing under oath that the party's lack of actual notice in time to defend the action was not caused by his or her avoidance of service or inexcusable neglect. The party shall serve and file with the notice a copy of the answer, motion, or other pleading proposed to be filed in the action.” Code Civ. Proc., § 473.5 (b).

“The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect.” Code Civ. Proc., § 473 (b).

III.

DISCUSSION

Defendants

move to set aside and vacate the defaults and default judgment entered in this case. The motion is granted.

Defendants

present declaration testimony stating that although Plaintiff's proofs of service document substituted service of the summons and complaint by leaving papers with “John Doe,” Defendants never received actual notice of this action. Defendants emphasize that Plaintiff should have been able to provide Defendants with actual notice of this action given that Defendants submitted an insurance claim regarding the subject incident. On April 24, 2025, Defendants' insurer informed Defendants that they were denying liability based on their determination that Plaintiff was entirely at fault. (See Hanzel decl., ¶ 3.)

Plaintiff's

counsel (Attorney John Pollitt) had previously contacted Defendants' insurance company on September 3, 2024, to submit a claim for damage in connection with the accident. On December 12, 2024, Defendants' insurance company informed Mr. Pollitt that as of January 1, 2025, the claim would be transitioned to Gallagher Bassett, a third-party administrator for Defendants' insurance company. Mr. Pollitt was subsequently provided with evidence to support Defendants' version of liability. On April 16, 2025, Gallagher Bassett emailed Mr. Pollitt, informing him that it was denying Plaintiff's claim. (Amy Huston decl., ¶¶ 3-7.)

Despite

the foregoing pattern of communication between Defendants' insurer and Mr. Pollitt regarding the subject car accident, Mr. Pollitt did not further communicate with Gallagher Bassett regarding litigation until May 8, 2026, when Mr. Pollitt communicated to Gallagher Bassett that Plaintiff had obtained a default judgment in the amount of \$4,478,167.50. (Amy Huston decl., ¶ 8.)

Given

that Plaintiff's counsel was in contact with Defendants' insurance company as early as September 3, 2024, months before Plaintiff filed this case on May 7, 2025, the Court finds it highly suspect that Plaintiff sufficiently exercised due diligence when attempting to serve Defendants before affecting substituted service on "John Doe" on May 22, 2025, and on May 27, 2025. This combined with Defendants' declarant's testimony that Defendants did not receive actual notice of this action in time to respond to the complaint before the Clerk's entry of their defaults is sufficient to warrant an order vacating the defaults and default judgment. See Code Civ. Proc., § 473.5.

Plaintiff

argues the Court should find otherwise because Hanzel concedes that he received notice of Plaintiff's request for entry of default by paper mail on July 18, 2025. (See Hanzel decl., ¶ 4.) Plaintiff also cites other documents that Plaintiff says he mailed to Defendants at ATZ's business address during the pendency of this case. (See Pollitt decl., ¶¶ 38, 47, 51.)

Hanzel

explains that after he received the notice of request for entry of default, he personally traveled to the Van Nuys Courthouse where he was advised by a clerk to consult his attorney or insurance carrier.

Hanzel thereafter forwarded the notice to his insurance carrier, which advised him that they were already in communication with Plaintiff's counsel

and the matter was being handled. (See
Hanzel decl., ¶¶ 4-5.)

Hanzel's

conduct in this case cannot be fairly characterized as avoidance of notice or service. When Hanzel received notice of this action,

he promptly tried to address the situation by consulting the Court and by
consulting his insurance carrier. That

the insurance carrier advised Hanzel that the matter was being handled

reasonably caused Hanzel to fail to pursue the matter further. In short, Hanzel's receipt of a mailed notice

is insufficient to show Defendants failed to adequately respond to this action,

particularly where Defendants' insurance carrier previously contacted

Plaintiff's counsel regarding the same claims at issue in this case and

Plaintiff's counsel failed to follow up with the insurer directly.

The

motion is granted. Defendants should

file their proposed answer to the complaint as a separate document in the

eCourt system within five (5) days.

IV.

CONCLUSION

Defendants'

motion for relief from defaults and default judgment is GRANTED. See Code Civ. Proc., § 473.5.

Defendants

are ORDERED to give notice.

DATED: July 10, 2026

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Judge

of the Superior Court